

WHAT YOU RECEIVE · ANONYMIZED EXAMPLE

Investor Execution Review

A decision-grade underwriting read on a deal you don't own yet — scope feasibility, a budget range you can underwrite with, the execution risks worth knowing, and a clear go / renegotiate / walk recommendation.

PREPARED FOR

Sample Investor · 1950s ranch · Charlotte NC [address redacted]

Delivered in 2 business days · NC GC License #107724

THE BOTTOM LINE

Recommendation

RENEGOTIATE

Deal works at \$172K acquisition — not the \$185K on the table. Specific basis below.

Deal snapshot

FIELD	VALUE
Property	Single-family, 1,420 sf, 3BR/1BA, 0.21-acre lot
Year built	1956
Asking / under contract	\$185,000
Verified ARV range (GC-est)	\$372,000 – \$398,000
Project category	Cosmetic + targeted systems (Tier 2 of 4)
Confidence level	Medium-High (drive-by + listing photos + public records)

WHY RENEGOTIATE, NOT WALK

The bones are good and the comp ceiling is real. But two systems (HVAC, plumbing) and one open permit push the realistic all-in past where the spread holds at \$185K. Re-trade to ~\$172K and the deal clears a 15%+ margin at the Tier 2 finish level.

SCOPE FEASIBILITY + BUDGET RANGE

What it realistically takes to execute

This is a decision-grade range, not a line-item bid. It is what a licensed NC GC would expect the work to land at in this submarket today, at three finish levels.

FINISH LEVEL	REHAB RANGE	TARGET LIST	MARGIN AT \$185K / \$172K
Tier 1 · Lender-Pass	\$78K – \$88K	\$358K	Thin / OK
Tier 2 · Market-Standard	\$92K – \$106K	\$382K	Tight / Clears 15%+
Tier 3 · Premium	\$108K – \$122K	\$398K	Over-improved for block

RECOMMENDED PATH

Tier 2 (Market-Standard). It hits the comp band buyers expect on this street without over-improving. Budget to the top of the range (\$106K) and treat anything under as upside.

CONFIDENCE NOTE

Ranges widen ~8% without interior access. An on-site walk (Active Oversight intake) tightens these to ±5% before you commit subs.

EXECUTION RISK CALLOUTS

The risks worth pricing before earnest money goes hard

RISK 1 · OPEN PERMIT (HIGH)

Water-heater permit pulled 2014, never closed. Blocks clean title transfer until resolved. **Cost to cure:** ~\$325 + 5 business days. **Action:** make seller close it pre-close, or escrow for it.

RISK 2 · POLYBUTYLENE SUPPLY LINES (MEDIUM)

Gray poly visible at the water heater in listing photos. Flagged by FHA, VA, and most DSCR lenders. **Cost to cure:** \$4,500 – \$7,200 (re-pipe to PEX). Already inside the Tier 2 range above.

RISK 3 · HVAC AT END OF LIFE (MEDIUM)

Condenser date plate reads 2006. Past expected useful life; a buyer's inspector will flag it. **Cost to cure:** \$8,800 – \$10,400 (replace 3-ton + furnace). The single biggest swing in the budget.

RISK 4 · SOFFIT ROT, SW CORNER (LOW)

Active moisture penetration visible at the southwest corner. **Cost to cure:** \$850 – \$1,400. Cosmetic priority, but an inspector will call it.

TIMELINE + WALK-AWAY TRIGGER

Pace the deal and protect your downside

PHASE	REALISTIC WINDOW
Close + permit close-out	Weeks 1–2
Demo + systems (HVAC, re-pipe, panel)	Weeks 3–6
Kitchen / bath / finishes	Weeks 7–11
Punch + list + sell	Weeks 12–16
Total to resale	75 – 110 days from acquisition

WALK-AWAY TRIGGER

If the seller won't move below **\$178K** AND won't close the open permit, walk. Below that line the Tier 2 margin compresses under 10% once you carry holding + selling costs — not enough cushion for a 1950s systems rehab where surprises are likely behind the walls.

YOUR NEXT STEP

Take the \$172K re-trade to the seller with this report attached — it gives your number a licensed-GC basis instead of a feeling. If you move forward, the Execution Review fee credits forward against Active Oversight on the build. NC GC License #107724.

This is an anonymized sample of the Investor Execution Review deliverable. Your report covers your specific deal. Southern Cities Construction · NC GC #107724.